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Nu Holdings Ltd. | Latin America

More Growth Levers, Better Tools, Same Discipline

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Nubank pushed back on Brazil credit concerns, framing higher provisions as growth/mix/timing rather than deterioration. Brazil remains the core engine, AI is becoming a strategic differentiator, Mexico is gaining credibility, and the US is a call option.

We hosted Nubank's management for conversations with institutional investors in NYC and Boston. The main message was that management views recent Brazil credit concerns as overstated relative to what the company is seeing in its own data. Investors remain focused on rising provisions, Brazil macro risk, and whether Nubank is accelerating lending too aggressively, but management's response was clear: customer behavior remains stable, cohorts are performing as expected, and recent growth reflects better underwriting precision rather than a change in risk appetite.

Overall, the meetings reinforced that Nubank believes it is entering 2026 with more growth levers, not fewer, while the market remains focused on near-term Brazil credit noise. The key evidence investors will need over the next several quarters is whether Brazil credit remains stable, risk-adjusted margin rebounds, Mexico accelerates post-license, and the US launch shows enough unit-economic promise to justify its option value.

The increase in provisions is being framed as a growth, mix, and timing issue rather than an asset quality issue. Management argued that higher provisions were driven mostly by strong origination, a mix shift toward higher-yielding products such as PIX financing, and the front-loading of provisions before interest income fully accrues. This creates short-term pressure on results, but Nubank continues to underwrite on lifetime risk-adjusted NPV and reiterated that risk-adjusted NIM should rebound toward 2H25 levels (10.5% to 10.8%) in coming quarters.

Risk-adjusted margin remains the key metric investors should focus on because it best reflects the economics of Nubank's credit decisions. Management repeatedly pushed investors away from looking at cost of risk or provisions in isolation. The company's underwriting process is based on customer-level and contract-level lifetime economics, including stress assumptions to test resilience. In management's view, that makes risk-adjusted margin the cleanest way to evaluate whether growth is value-accretive.

Brazil remains the core earnings engine, with multiple growth levers still ahead. Management does not view 2025 as a one-off credit unlock. Nubank still has room to increase credit penetration across younger cohorts, expand credit limits as customer relationships mature, grow unsecured lending, scale secured products, and eventually capture more opportunity in private payroll and higher-income segments. The broader message is that Brazil still offers a long runway for monetization, particularly because Nubank's low-cost operating model allows it to serve mass-

Nu Holdings Ltd. (NU.N, NU UN)

Brazil Financial Institutions | Brazil

Stock Rating	**Overweight**
Industry View	**No Rating**
Price target	**US$21.00**
Shr price, close (Jun 12, 2026)	US$12.19
Mkt cap, curr (mm)	US$61,148
52-Week Range	US$18.98-11.21

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US$)**	0.58	0.86	1.31	1.73
Prior EPS (US$)**	-	-	-	-
P/E	29.1	14.3	9.3	7.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

market customers profitably where incumbents struggle.

AI is becoming a strategic differentiator, not simply an underwriting tool. Management framed AI as a company-wide transformation, not just an efficiency initiative. AI is already helping Nubank improve credit models and identify lower-risk pockets of growth, but the company emphasized that risk appetite has not changed. The larger opportunity is that AI could widen Nubank's advantage in areas that are harder for incumbents to replicate: credit, deposit-yield optimization, personalization, and operating workflows.

Deposit-yield optimization may become one of the most important AI use cases beyond credit. Management argued that banks underwrite credit very precisely but do not yet underwrite the cost of money with similar sophistication. Nubank sees an opportunity to personalize deposit offers, reduce unnecessary funding cost, preserve growth, and protect NPS. This could become a meaningful lever because interest expense is one of the company's largest cost lines.

Mexico is becoming a more credible second-leg growth story. Mexico has reached breakeven, with efficiency ratio declining from triple digits to roughly 40%, already near incumbent bank levels and most likely moving much lower over time. The expected banking license approval around mid- to late July should unlock marketing, payroll loans, salary accounts, and the deployment of the Mexico foundational credit model. Mexico is therefore moving from customer-acquisition proof toward operating-model proof.

The US is being positioned as a capped-cost call option rather than a thesis-changing capital drain. Management reiterated that US investment is limited to up to 100 bps of efficiency ratio in 2026 and again in 2027. The first phase is about testing product-market fit, customer acquisition, unit economics, and platform scalability. The opportunity is large given the profitability and inefficiency of US consumer banking, but management acknowledges that Nubank still needs to prove it can compete in a structurally different market.

Reiterate Overweight rating on NU. Nubank is uniquely positioned to build one of the largest and most valuable banking franchises in Latin America, supported by world-class technology, exceptional customer satisfaction, market leading pricing, and strong unit economics. We think the market continues to significantly underestimate Nubank's ability to scale profitably. Our granular, bottom-up model — built by product and by country using detailed unit economics and TAM assumptions — suggests Nubank could reach a US$100 billion valuation by 2026, up from US$61 billion today. NU trades at 14.3x 2026 P/E and 9.3x 2027 P/E, which we view as highly compelling relative to EPS growth of 48% in 2026 and 54% in 2027. This implies an attractive PEG ratio of just 0.2x.

More Growth Levers, Better Tools, Same Discipline

We hosted Nubank's management for conversations with institutional investors in NYC and Boston. The central message was clear: management believes recent investor concerns around Brazil credit are overstated relative to what the company is seeing in its own data. Discussions covered Brazil asset quality, provision growth, risk-adjusted margin, AI underwriting, deposit optimization, Mexico's upcoming banking-license unlock, and the US opportunity. But the core debate remains straightforward: investors worry Nubank is accelerating lending into a tougher Brazil credit environment, while management argues that growth is being driven by improved models, stable customer behavior, and attractive unit economics even under stressed assumptions.

The meetings helped clarify the disconnect between the market's near-term focus and management's view of the underlying economics. Investors are watching provisions, Brazil macro risk, and the pace of credit expansion. Management's response is that this lens looks too narrowly at the P&L and too early in the loan lifecycle. Nubank is underwriting on lifetime risk-adjusted NPV, stress-testing resilience at the contract level, and accepting near-term provision pressure when expected long-term returns remain compelling. In other words, the issue is not whether provisions are rising — they are — but whether they are attached to loans that should generate attractive risk-adjusted returns over time.

Skeptics will likely remain focused on Brazil macro, provisions, the durability of AI-led credit expansion, and whether the US becomes a distraction. But management does not appear to be backing away from growth, nor does it see deterioration in its own credit data. Instead, Nubank believes it is entering 2026 with more growth levers, not fewer. Brazil remains the earnings engine, Mexico is becoming more credible, AI is expanding from underwriting into operating-model transformation and funding-cost optimization, and the US is being structured as a capped-cost test of a potentially large market.

For investors, the next several quarters will come down to evidence: whether risk-adjusted margin rebounds as management expects, Brazil credit remains stable, Mexico accelerates after the banking license, and US disclosures show a product and unit-economic proposition strong enough to justify the option value.

What's inside this report? The rest of the report provides detailed insights into management's commentary on the below six key topics:

1. Brazil credit concerns remain overdone
2. Risk-adjusted margin, not provisions, is the metric to watch
3. Brazil growth still has multiple levers into 2026-27
4. AI is becoming a core strategic differentiator
5. Mexico is transitioning from investment phase to operating leverage phase
6. US expansion is a capped-cost call option, not a thesis-changing capital drain

Brazil credit concerns remain overdone

The most important near-term takeaway is that Nubank does not see signs of credit deterioration that would justify a pullback in Brazil. Management was explicit that, based on cohort-level data and customer behavior, the company has not seen deterioration through the current period, and specifically framed that comment as applying to what the company is seeing "today," not only to the end of the last reported quarter. Management argued that the macro backdrop for 1Q26 origination was not materially different from 1Q25, when investors were more focused on Nubank's ability to unlock growth through better models. The company's view is that this is not a story of looser underwriting, but of sharper underwriting: the models are identifying pockets of customers that older models treated as riskier than they actually were.

Management's confidence also rests on the way the bank stress-tests the economics of each credit decision before growth is approved. Nubank said that underwriting is not based only on expected losses, but on the resilience of the risk-adjusted NPV of each contract. The company described a framework in which contracts need to remain positive, or at least marginally positive, even under a shock that assumes roughly twice the expected loss rate. This is an important point because management is not arguing that the Brazil macro backdrop is risk-free; it is arguing that the incremental growth being approved already embeds a cushion against worse-than-expected credit outcomes.

The increase in provisions is being framed as a function of growth, mix, seasonality, and accounting timing, not as evidence of worsening credit quality. Management emphasized that the largest driver of higher provisions was strong origination, particularly in products with higher expected loss content but also higher yield and attractive risk-adjusted economics. PIX financing was highlighted as a good example of this dynamic: it carries a higher cost of risk, but also a higher gross yield, resulting in what management described as attractive unit economics. Nubank noted that PIX financing has been growing faster than the overall credit card portfolio, which naturally pushes the reported cost-of-risk profile higher, but not necessarily in a value-destructive way.

PIX financing is also important because it changes the mix of the credit card book, but management does not see that as a credit quality red flag. PIX financing is a disruptive product with benefits for both the consumer and Nubank. Its success has pushed interest-earning balances as a share of the credit card portfolio to rise. Management acknowledged that this can accelerate provisions, because the product has more credit content than pure transacting, but it should also accelerate interest income over time. The point is that investors may see a higher cost of risk and conclude that credit quality is deteriorating, while management sees a mix shift toward a product with higher risk but also higher yield and attractive risk-adjusted margin.

We have published several recent reports discussing delinquency in Brazil and for Nubank. For details, please see: Consumer Credit: NPLs, DSR, and the Case for Perspective and Stage Fright? A Deep Dive into the Stage 2 Debate.

Risk-adjusted margin, not provisions, is the metric to watch

Risk-adjusted margin is the metric management most wants investors to focus on because it best reflects how Nubank actually underwrites credit. NU repeatedly pushed investors away from looking at cost of risk or provisions in isolation, and toward risk-adjusted margin as the cleanest translation of the company's credit decisioning into the income statement. Internally, Nubank underwrites on a contract-by-contract and customer-by-customer basis using lifetime risk-adjusted NPV, including the resilience test that assumes materially worse losses. Management reiterated that risk-adjusted margin should rebound toward 2H25 levels (10.5% to 10.8%) in coming quarters as seasonal pressure reverses and interest income from recent origination starts to accrue.

The near-term pressure on risk-adjusted margin is partly mechanical because provisions are recognized before the full revenue benefit of new originations. Management used a simple example to make the point: a loan originated late in the quarter may have only a few days of interest income in the P&L, but it carries the full front-loaded provision from day one. In that quarter, the loan may appear to have weak or even negative risk-adjusted margin. In the following quarter, however, the same loan contributes a full period of interest income without the same upfront provisioning drag. This timing mismatch becomes more visible in quarters with strong origination and seasonal pressure, which is why management believes the reported margin should rebound as the book seasons.

The company also sees several structural drivers that should support risk-adjusted margin after the initial rebound. Management pointed to lower average funding costs year-over-year as a tailwind, even if the Selic easing cycle is less aggressive than investors hoped a few months ago. This matters because a significant portion of Nubank's loan book is fixed-rate, while funding costs are closely linked to Selic. In addition, mix should remain supportive as credit cards and unsecured lending carry higher risk-adjusted margins than secured products, while secured lending still offers far better economics than holding excess liquidity in Brazilian T-bills.

The low loan-to-deposit ratio remains another important but underappreciated source of margin upside. Management noted that Brazil's LDR is still only around 50%, which means a large part of the balance sheet is still effectively invested in lower-yielding liquid assets rather than loans. Management's back-of-the-envelope math was that Brazilian T-bills contribute only around 2% risk-adjusted margin, well below the company's aggregate margin. As Nubank gradually replaces part of that liquidity with loans — whether secured or unsecured — the mix shift should be accretive to risk-adjusted margin, provided underwriting remains disciplined. This is why management views LDR expansion as a multi-year structural tailwind, not just a one-quarter accounting issue.

Brazil growth still has multiple levers into 2026-27

The broader Brazil growth message is that 2025 should not be viewed as a one-off credit unlock. Management argued that the company still has several years of natural monetization ahead as younger cohorts mature, receive higher credit limits, and move closer to the economics of older cohorts. The cohort logic remains central to the story: Nubank has a large base of customers that are still under-monetized, and credit penetration is one of the largest differences between newer and older cohorts. In management's view, the recent improvement in AI-driven models added a new leg to this low-and-grow strategy by allowing the company to identify additional creditworthy customers within the existing base.

Brazil mass-market banking remains the core profit-pool opportunity because incumbent banks appear structurally disadvantaged in serving that segment profitably. Management's argument was not that mass-market credit is easy; in fact, it repeatedly stressed that it is a difficult business because losses are asymmetric and bad customers can destroy the economics of many good customers. But that is precisely why Nubank believes the opportunity is large. The company argues that traditional banks do not necessarily have a gross-profit problem in mass-market retail banking; they have an operating-model problem. Nubank's low efficiency ratio is the mechanism that can convert single-digit gross profit per customer into attractive returns.

Private payroll in Brazil remains an upside lever, but management framed it as a gradual opportunity rather than an immediate inflection. Nubank sees the market as attractive but still developing operationally, with issues around collateral collection, employer processes, and data infrastructure. The company has been running foundational tests and developing a specific underwriting model for private payroll because the product has different duration, yield, and risk characteristics than Nubank's existing unsecured lending book. Management was clear that the second half of 2026 should not be interpreted as "the half of private payroll," but it does see multiple small pieces coming together that could make Nubank a more relevant player over time.

The high-income opportunity in Brazil is also meaningful, but it has not yet been fully addressed by the new AI models. Management acknowledged that serving higher-income customers requires a different acquisition model because the low-and-grow approach is less effective when a customer expects a meaningful credit limit from day one. Nubank has not yet transferred its newer AI technology to the high-income acquisition model, but management suggested this is part of the short-term pipeline over the next 12 months. This matters because the company's high-income customers can generate ARPAC many times higher than mass-market customers.

For a deep-dive on private payroll loans, please see our recent dispatch: Private Payroll Loans: Big Narrative, Smaller Market.

AI is becoming a core strategic differentiator

The AI discussion was more strategic than investors may appreciate, with management presenting AI as a company-wide transformation rather than a narrow underwriting tool. Nubank made a clear distinction between AI adoption and AI transformation. Adoption means using tools to make existing workflows more productive; transformation means redesigning workflows from scratch. The larger message is that Nubank sees itself moving into an AI-first operating model while many Latin American incumbents are still working through basic digital transformation.

The strategic relevance of AI is that it may widen Nubank's gap versus incumbents precisely in the areas where banking is hardest to disrupt. Payments and basic digital accounts can be copied, and many incumbents have already closed part of the gap on app functionality. Credit, liability optimization, operating workflows, and personalization are harder to replicate because they require proprietary data, model architecture, organizational speed, and a willingness to redesign processes rather than simply digitize old ones. Management's message was that AI is not a side project sitting next to the banking business; it is becoming part of how the banking business is manufactured. If that proves correct, the competitive advantage is not only a better model for one credit product, but a faster cycle of testing, learning, and deploying products.

This also helps explain why management is prioritizing the highest-value models first rather than upgrading the full stack at once. Nubank has roughly 20 credit models, but only a few have been upgraded so far. The first priority was Brazil mass-market credit card, because it was both highly sophisticated and financially material. The thinking is: if the company can beat its strongest incumbent model in one of its largest profit pools, the opportunity in less mature or less optimized models could be significant. That same logic applies to Mexico, high-income acquisition, private payroll, and deposits, where the model architecture and data advantages may still be earlier in their monetization curve.

AI has already contributed to credit growth, but management insists that risk appetite has not changed. This distinction matters because one investor concern is that AI-led growth could simply be a more sophisticated label for taking more risk. NU pushed back on that interpretation. The company has roughly 20 credit models, and only a few have been upgraded so far, including Brazil mass-market cards and Brazil personal loans. The models are described as better tools for the business and risk teams, not as a change in the risk governance framework. In other words, AI is improving precision, but the underwriting decision still needs to clear the same risk-adjusted NPV and resilience thresholds.

One of the more interesting new opportunities is deposit-yield optimization, which management described as a large and underdeveloped AI use case. Nubank argued that banks are very sophisticated in underwriting credit risk, but much less sophisticated in underwriting the cost of money. Nubank today offers broadly similar deposit economics across very different customer segments, even though some customers may be indifferent to earning less on small transactional balances while others may require a premium to bring larger balances. Management sees an opportunity to personalize deposit offers in a way that lowers funding cost, preserves growth, and protects NPS. Importantly, management emphasized that Nubank does not intend to pursue value-destructive or misleading savings products; the opportunity is to optimize the liability side without damaging customer trust.

Top 5 Takeaways from Nubank's AI Videocast

Throughout the conversation about AI, management referred to a recent videocast featuring Eric Young, CTO, and Rohan Ramanath, AI Manager. We have included a summary of that video below. The full episode can be accessed here.

1. **Nubank is positioning AI as a new operating system for the company, not a productivity tool.** Management's core message is that AI is not being used simply to automate existing workflows or generate incremental efficiency. Nubank is trying to rebuild how the bank operates around AI-first decision-making. The clearest example is product design: rather than asking customers to choose from a menu of financial products, Nubank wants AI to understand the customer's income, spending, obligations, and intent, then recommend the right product, amount, and timing. This matters because it suggests AI could reshape the customer experience and increase product penetration, rather than merely reduce costs.

2. **Credit is the most tangible near-term growth use case.** Nubank's proprietary foundation model, "Newformer," is already embedded in one of the company's most important decision areas: credit limit increases for Brazil's mass-market credit card customers. Management emphasized that more precise models allow Nubank to safely approve more customers or larger limits while preserving profitability. The key investor takeaway is that AI is being framed as a growth engine, not just a risk-control tool. Better underwriting can expand financial inclusion and increase revenue without requiring a deliberate loosening of credit standards.

3. **Management is explicitly trying to separate AI-driven growth from credit risk creep.** A major concern for investors is whether AI-enabled credit expansion simply means taking more risk. Management pushed back on that. Newformer provides a better signal, but final credit decisions are still governed by a risk-adjusted NPV framework. Risk and business teams remain organizationally separate, with independent second-line validation, pre-launch testing, post-rollout monitoring, fairness checks, and explainability requirements. This is important because the upside case depends on Nubank growing credit through better information, not weaker underwriting discipline.

4. **AI could help close Nubank's monetization gap versus incumbents.** Management highlighted that Nubank's ARPAC is roughly $15 per month, versus about $40 for incumbent banks, while traditional banks still capture about 95% of financial-services profit pools. The company sees AI as a key lever to narrow that gap through deeper personalization, higher engagement, better cross-sell, and a broader product ecosystem. The "AI private banker" is central to this strategy: a personalized financial assistant designed to deliver advice at scale, especially for low- and middle-income customers who historically lacked access to financial advice. Nubank said early AI capabilities have already been tested across the app and are being used by roughly 15 million monthly active users.

5. **Nubank believes AI will widen its competitive moat because the advantage depends on data, talent, and culture.** Management argued that AI banking will

not create a clean slate in the way digital banking did. Instead, it may favor companies with deep proprietary data, strong AI talent, and fast experimentation cultures. Nubank claims advantages across all three. Its customer base is not only large, at more than 100 million users, but also deep: roughly 60% of Brazilian customers use Nubank as their primary financial institution, giving the company a fuller picture of spending, savings, credit, investments, and financial intent. At the same time, Nubank says internal AI experimentation cycles have compressed from three to six months to roughly one day, and engineering roadmaps have been accelerated materially. If sustained, this faster learning loop could become a structural advantage versus incumbents with fragmented data, higher cost structures, and more bureaucracy.

BOTTOM LINE. Nubank is telling investors that AI is entering the core of the business: underwriting, fraud, deposits, collections, software engineering, and customer advice. The investment case is not just lower costs, but a potentially stronger growth algorithm: better credit decisions, higher engagement, more cross-sell, faster product iteration, and a wider moat versus legacy banks.

Mexico is transitioning from investment phase to operating leverage phase

Mexico is becoming a more credible second-leg growth story as operating leverage becomes visible ahead of the banking-license unlock. Management highlighted that Mexico has reached breakeven, with the efficiency ratio declining from triple digits to roughly 40%, already near incumbent bank levels and most likely moving much lower over time. This is important because Mexico is still in an early monetization phase, yet the operating leverage is already emerging as credit grows in a disciplined way and ARPAC expands. The message was that Mexico is starting to show the same earnings-generating formula as Brazil: customer growth, rising monetization, and rapid dilution of fixed costs.

Mexico matters because it is becoming the first real test of whether Nubank's Brazil formula can travel. The company has already proven that it can acquire customers outside Brazil, but the more important question has always been whether it can reproduce the full earnings formula: customer growth, rising ARPAC, disciplined credit expansion, declining efficiency ratio, and eventually attractive returns. The recent breakeven point and efficiency-ratio improvement suggest Mexico is moving from brand/customer proof toward operating model proof. The banking license should accelerate that process by unlocking marketing, payroll products, salary accounts, and the deployment of the Mexico credit model, but the more important point is that Mexico is beginning to look less like an experiment and more like a second scaled banking franchise.

The expected Mexico banking license is a meaningful unlock, even if the deposit insurance change itself may not be the main driver. Management expects a positive outcome around mid- to late July, after a more longer and resource-intensive audit process than originally expected. The license should free up a large part of the local team, allow Nubank to market itself explicitly as a "bank", support a broader brand campaign, and enable the launch of payroll loans and salary-account-related products. Management also noted that the Mexico foundational credit model is ready but was intentionally kept out of production during the audit process to avoid resetting the regulatory review. Once the license process is complete, the company should be able to deploy that model.

Management is optimistic on Mexico credit growth. Nubank suggested that Mexico credit growth could potentially improve from the current 50-60% range toward a higher rate, helped by better models and the license unlock, but explicitly pushed back on expectations for triple-digit credit growth. The company recognizes that Mexico has higher expected credit losses than Brazil in some products, even if higher interest-earning balances and revenue can support attractive unit economics. The lesson from Mexico is that Nubank needed time to build its own data set before scaling credit more aggressively. The company now believes it has both better models and better data.

For a deep-dive on the Mexico opportunity, please see our recent reports: The End of Cheap Funding: Is Fintech Rewriting Mexican Banking? and Mexico Banking at Inflection Point: AlphaWise Survey.

US expansion is a capped-cost call option, not a thesis-changing capital drain

The US is being positioned as an asymmetric option with capped downside, not as a thesis-changing capital drain. Management reiterated that US investment is capped at up to 100 bps of efficiency ratio in 2026 and another 100 bps in 2027. The company's objective in the first phase is to test hypotheses, not to scale blindly. Those hypotheses include whether Nubank can acquire customers with high NPS, whether product-level unit economics match its expectations, and whether its global platform can deliver a structurally lower efficiency ratio than US incumbents. If those hypotheses are not proven, management indicated it would not simply continue spending.

The US opportunity should still be presented with humility because the market is large but also structurally different. Management's capped-investment framework is important because it acknowledges that Nubank still needs to prove product-market fit, customer acquisition, unit economics, and scalability in a very competitive market. The attractive part of the argument is that incumbent consumer banking profitability in the US remains very high despite efficiency ratios that are far above Nubank's target model. The risk is that high profitability does not automatically mean easy disruption, particularly in a market with deep rewards ecosystems, high marketing intensity, and entrenched customer relationships. That is why the US should be valued as a call option for now, not as a base-case driver of the next two years of earnings.

The US strategy is expected to be credit-first, but broader than a narrow subprime or Hispanic banking niche. IR was clear that Nubank does not intend to launch as a niche subprime bank or a Hispanic-focused bank. The company sees pain points in broader US consumer banking, particularly around fees, low deposit yields, and customer experience, and it expects the first core product to be a credit card with real underwriting risk rather than a secured card. Management also suggested that the US product launch could be more complete from day one than Brazil or Mexico, potentially including credit card, current account, personal-loan pathway, and crypto custody, reflecting lessons learned from entering Mexico without a banking license early enough.

The US data environment could allow Nubank to move faster than it did in Mexico. One lesson from Mexico was that the company needed time to build a clean internal data set because third-party bureau data was not sufficient. In the US, by contrast, management believes the availability of FICO and broader credit-bureau data could help jump-start underwriting when combined with Nubank's more sophisticated models. This does not eliminate execution risk, but it helps explain why the company believes the US test is worth running despite the competitiveness of the market.

We recently published a detailed report analyzing Nubank's potential US expansion. For details, please see: US Expansion: Opportunities & Challenges

Financial Model

Exhibit 1: Nu Holdings — Consolidated Income Statement.

US$ Millions	**2022**	**2023**	**2024**	**2025**	**2026e**	**2027e**	**2028e**
Interest Income	3,555	6,440	9,631	13,435	19,696	25,668	32,130
Fee and commission income	1,237	1,589	1,886	2,340	3,122	4,072	5,025
Total Revenue	**4,792**	**8,029**	**11,517**	**15,775**	**22,819**	**29,740**	**37,154**
Transaction Expenses	176	216	260	366	577	756	929
Loan-Loss Provisions	1,405	2,285	3,169	4,205	7,381	9,254	11,548
Interest and Other Financial Expenses	1,548	2,037	2,835	4,579	5,537	6,350	7,513
Total Costs of Services	**3,129**	**4,538**	**6,264**	**9,150**	**13,495**	**16,361**	**19,990**
Gross Profit	**1,663**	**3,491**	**5,253**	**6,625**	**9,324**	**13,379**	**17,164**
Customer Support and Operations	335	488	605	652	935	1,239	1,536
Marketing Expenses	153	171	246	303	443	585	714
General and Administrative Expenses	695	753	848	1,061	1,662	2,106	2,548
Share-based Compensation	282	289	408	359	466	629	771
Other Operating Income/(Expense)	(150)	(250)	(351)	(378)	(690)	(906)	(1,118)
Operating Expenses	**1,616**	**1,952**	**2,458**	**2,753**	**4,197**	**5,465**	**6,686**
Other Income/(Expense)	-	-	-	(4)	(4)	(4)	(5)
Income Before Income Taxes	**47**	**1,539**	**2,795**	**3,868**	**5,123**	**7,910**	**10,474**
Income Taxes	56	509	823	997	849	1,345	1,807
Non-controlling interests	(0)	-	-	3	(1)	-	-
Net Income	**(9)**	**1,031**	**1,972**	**2,869**	**4,275**	**6,565**	**8,667**
Full Diluted Shares Outstanding (mm)	4,851	4,989	4,990	4,982	5,016	5,016	5,016
EPS (US$)	**(0.00)**	**0.21**	**0.39**	**0.57**	**0.85**	**1.31**	**1.73**
(+) Share-based Compensation	282	289	408	359	466	629	771
(-) Tax effect on share-based comp	73	90	137	126	157	216	264
(-) One-Time Gain / (Loss)	(4)	34	36	30	(8)	-	-
Adjusted Gain / Loss for the year	**204**	**1,196**	**2,208**	**3,073**	**4,592**	**6,979**	**9,174**
Adjusted EPS (US$)	**0.04**	**0.24**	**0.44**	**0.62**	**0.92**	**1.39**	**1.83**
Profitability							
Gross Margin	35%	43%	46%	42%	41%	45%	46%
Efficiency Ratio	55%	36%	31%	28%	28%	27%	26%
Operating Margin	1%	19%	24%	25%	22%	27%	28%
Net Margin	0%	13%	17%	18%	19%	22%	23%
ROA	0%	3%	4%	5%	5%	6%	6%
ROE	0%	18%	28%	30%	31%	34%	32%

Source: Company Data, Morgan Stanley Research Estimates (e).

Exhibit 2: Nu Holdings — Consolidated Balance Sheet.

US$ Millions	2022	2023	2024	2025	2026e	2027e	2028e
Assets							
Cash and cash equivalents	4,172	5,923	9,186	15,004	12,192	10,989	13,764
Securities	12,859	16,748	18,283	25,977	31,453	39,903	48,862
Credit card receivables, net	8,233	12,414	12,259	18,268	28,005	34,441	39,986
Loans to customers, net	1,673	3,202	5,322	9,421	15,380	27,196	39,685
Deferred tax assets	811	1,538	1,818	2,511	4,102	5,742	7,357
PP&E + Intangible Assets	210	335	373	629	926	1,260	1,714
Miscelaneous assets & collateral	958	1,364	1,198	1,934	2,512	2,939	3,438
Other financial assets at amortized cost	1,000	1,821	1,492	1,149	2,340	2,916	3,432
Total Assets	**29,917**	**43,345**	**49,931**	**74,894**	**96,910**	**125,385**	**158,240**
Liabilities							
Deposits	15,809	23,691	28,855	41,925	52,596	65,621	80,018
Payables to credit card network	7,055	9,755	9,334	13,634	18,663	22,832	26,372
Borrowings and financing	586	1,136	1,730	4,398	5,993	10,482	16,494
Other liabilities	1,577	2,356	2,365	3,615	3,662	3,887	4,126
Total Liabilities	**25,026**	**36,939**	**42,284**	**63,572**	**80,915**	**102,823**	**127,009**
Shareholders' Equity	**4,891**	**6,406**	**7,646**	**11,291**	**15,991**	**22,557**	**31,223**
Equity attributable to non-controlling interests	-	-	1	31	4	5	8
Total Liabilities and Equity	**29,917**	**43,345**	**49,931**	**74,894**	**96,910**	**125,385**	**158,240**

Source: Company Data, Morgan Stanley Research Estimates (e).

Exhibit 3: Nu Holdings — Key Ratios.

US$ Millions	2022	2023	2024	2025	2026e	2027e	2028e
Summary Financials							
Total Clients (MM)	74.7	93.9	114.3	131.0	145.7	158.4	171.3
Active Clients (MM)	61.2	78.0	94.9	109.3	121.2	131.5	141.1
Net Revenue	4,792	8,029	11,517	15,775	22,819	29,740	37,154
Interest Income	3,555	6,440	9,631	13,435	19,696	25,668	32,130
Fee and commission	1,237	1,589	1,886	2,340	3,122	4,072	5,025
Gross Profit	1,663	3,491	5,253	6,625	9,324	13,379	17,164
Operating Expenses	1,616	1,952	2,458	2,753	4,197	5,465	6,686
Net Income	(9)	1,031	1,972	2,869	4,275	6,565	8,667
Adj. Net Income	204	1,196	2,208	3,073	4,592	6,979	9,174
EPS (US$)	(0.00)	0.21	0.39	0.57	0.85	1.31	1.73
Adj. EPS (US$)	0.04	0.24	0.44	0.62	0.92	1.39	1.83
Total Loans, net	9,907	15,616	17,581	27,689	43,385	61,637	79,672
Card Receivables	8,233	12,414	12,259	18,268	28,005	34,441	39,986
Loans to Customers	1,673	3,202	5,322	9,421	15,380	27,196	39,685
Deposits	15,809	23,691	28,855	41,925	52,596	65,621	80,018
Shareholders Equity	4,891	6,406	7,646	11,291	15,991	22,557	31,223
Growth Rates							
Total Clients (MM)	38%	26%	22%	15%	11%	9%	8%
Active Clients (MM)	49%	27%	22%	15%	11%	8%	7%
Net Revenue	182%	68%	43%	37%	45%	30%	25%
Interest Income	240%	81%	50%	39%	47%	30%	25%
Fee and commission	90%	28%	19%	24%	33%	30%	23%
Gross Profit	127%	110%	50%	26%	41%	43%	28%
Operating Expenses	79%	21%	26%	12%	52%	30%	22%
Net Income	-95%	-11544%	91%	45%	49%	54%	32%
Adj. Net Income	3129%	486%	85%	39%	49%	52%	31%
EPS (US$)	-95%	-11199%	91%	46%	48%	54%	32%
Adj. EPS (US$)	3252%	475%	84%	39%	49%	52%	31%
Total Loans	66%	58%	13%	57%	57%	42%	29%
Card Receivables	72%	51%	-1%	49%	53%	23%	16%
Loans to Customers	40%	91%	66%	77%	63%	77%	46%
Deposits	64%	50%	22%	45%	25%	25%	22%
Shareholders Equity	10%	31%	19%	48%	42%	41%	38%
Profit Margins & Key Ratios							
Gross Margin	35%	43%	46%	42%	41%	45%	46%
Efficiency Ratio	55%	36%	31%	28%	28%	27%	26%
Operating Margin	1%	19%	24%	25%	22%	27%	28%
LLP/Avg Loans	15%	16%	16%	16%	18%	15%	14%
Net Margin	0%	13%	17%	18%	19%	22%	23%
Adj Net Margin	4%	15%	19%	19%	20%	23%	25%
ROA	0%	3%	4%	5%	5%	6%	6%
ROE	0%	18%	28%	30%	31%	34%	32%
ARPAC - Yearly (US$)	93	116	133	154	198	235	273
ARPAC - Monthly (US$)	7.7	9.6	11.0	12.9	16.5	19.6	22.8
Cost to Serve - Yearly (US$)	9.9	10.2	10.0	10.0	13.1	15.8	18.1
Cost to Serve - Monthly (US$)	0.8	0.8	0.8	0.8	1.1	1.3	1.5
Effective Tax Rate	119%	33%	29%	26%	17%	17%	17%
Revenue By Country	**4,792**	**8,029**	**11,517**	**15,775**	**22,819**	**29,740**	**37,154**
Brazil	4,506	7,480	10,436	13,859	20,084	25,235	30,486
Mexico	201	414	812	1,166	1,761	3,047	4,751
Colombia	20	80	137	257	425	935	1,411
Other / Holding	64	55	133	494	549	522	507
Revenue Contribution							
Brazil	94%	93%	91%	88%	88%	85%	82%
Mexico	4%	5%	7%	7%	8%	10%	13%
Colombia	0%	1%	1%	2%	2%	3%	4%
Other / Holding	1%	1%	1%	3%	2%	2%	1%

Source: Company Data, Morgan Stanley Research Estimates (e).

Valuation Methodology and Risks

Nu Holdings Ltd. (NU.N)

Our valuation work and price targets are based on residual income analysis. In our residual income model, the value of the firm is mainly a function of the magnitude of the spread between return on equity and cost of equity (performance spread) and the time period in which management can generate returns in excess of the cost of equity (economic growth horizon). Our valuation model uses a discount rate of 13.9% and long-term ROE of 28%.

Risks to Upside

- Increasing penetration of financial products in LatAm
- Successful geographical expansion
- New products added to the platform
- Improving cross-sell initiatives
- M&A

Risks to Downside

- Asset quality deterioration
- Regulatory headwinds
- Tougher competition could impact margins
- Execution risk of international expansion
- Potential conflicts of interest between controlling and minority holders

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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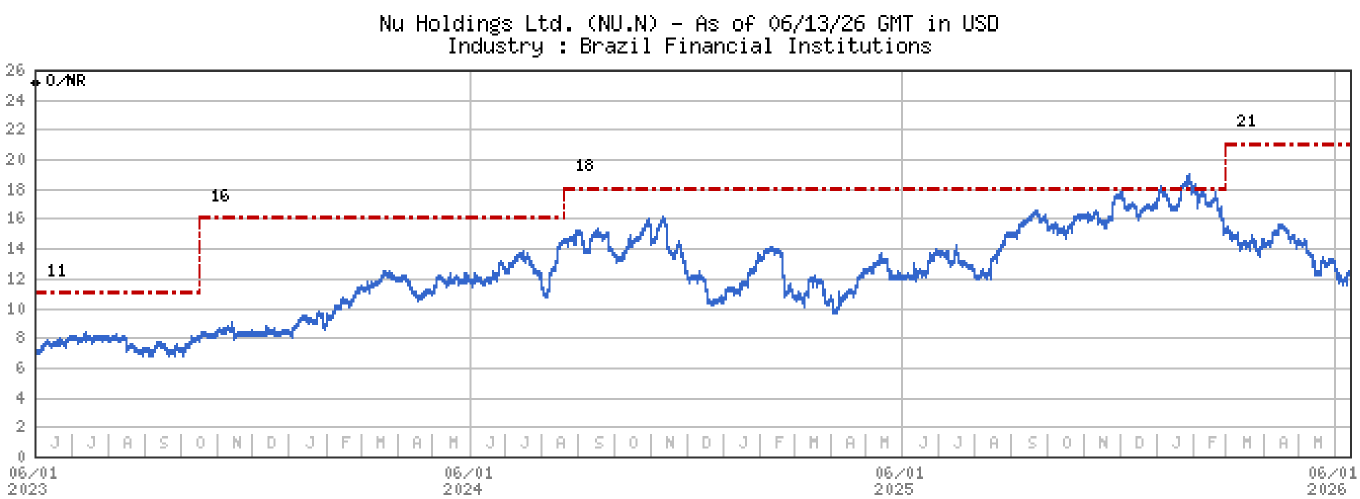
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 1/3/22 : O/NR

Price Target History: 1/3/22 : 16; 5/24/22 : 14; 8/17/22 : 12.5; 11/16/22 : 10.75; 3/3/23 : 10; 5/1/23 : 11; 10/18/23 : 16; 8/20/24 : 18; 3/1/26 : 21

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -·   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/12/2026)
Jorge Echevarria		
BB Seguridade Participacoes S.A. (BBSE3.SA)	E (09/18/2025)	R$37.87
Caixa Seguridade Participacoes S.A. (CXSE3.SA)	O (06/10/2021)	R$18.60
Porto Seguro (PSSA3.SA)	O (11/02/2022)	R$50.49

Jorge Kuri		
AGI Inc (AGBK.N)	O (03/08/2026)	US$7.17
B3 SA BRASIL BOLSA BALCAO (B3SA3.SA)	O (05/12/2025)	R$15.23
Banco Bradesco (BBD.N)	O (08/07/2019)	US$3.50
Banco BTG Pactual SA (BPAC11.SA)	O (03/28/2017)	R$50.39
Banco do Brasil (BBAS3.SA)	O (03/07/2018)	R$19.46
Banco Santander Brasil (BSBR.N)	O (08/07/2019)	US$5.42
Inter & Co Inc. (INTR.O)	U (06/13/2018)	US$5.77
Itau Unibanco Holding S.A. (ITUB.N)	O (06/17/2024)	US$7.99
Nu Holdings Ltd. (NU.N)	O (01/03/2022)	US$12.19
PagSeguro Digital (PAGS.N)	U (09/04/2024)	US$8.96
StoneCo Ltd. (STNE.O)	U (01/18/2026)	US$11.26
XP Inc (XP.O)	O (05/12/2025)	US$16.02

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